



Prepaid Expenses and Accrued Expenses

In this section, we will talk about Prepaid Expenses and Accrued Expenses.

Prepaid Expenses

118	Prepaid Expenses					
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120	Prepaid expenses/ Revenues	0.00%	0.29%	0.64%	0.50%	0.59%
121						
122	Quality of prepaid expenses- Confidence that it will be recovered.	company prepaid expenses are very negligible that why company has not the state their prepaid expenses				
123						
124	When and how will it be recovered	N/A				
125						
		Cash Flow	OpWorkingCapital	FinWorkingCapital	NonCurrentAssets	NCL&Equity
						ISAnal...

Prepaid Expense is an asset for the company. They have paid an advance and are yet to receive the benefit in the future. So we need to look at Prepaid expenses/Revenue, which here is a very small number.



Advances paid by the company appear under Prepaid Expenses. Higher prepaid expenses require higher working capital for the company. We can see that for this company, the capital tied up as prepaid expenses is relatively less.

However, in many businesses, the company has to pre-pay to book its supplies in order to operate. Usually, in those businesses, prepaid expenses are high. In such industries, this may be the largest component in total working capital consumed by the company. For companies where prepaid expenses is a relatively large number, we need to understand it better.

